TENCENT MUSIC ENTERTAINMENT

Tencent Music Entertainment Group
2025 Third Quarter Earnings Conference Call

Millicent T.:

Good evening, good morning, and welcome to Tencent Music Entertainment Group's Third Quarter 2025 Earnings Conference Call. I'm Millicent Tu, Head of IR. We announced our quarterly financial results earlier today before the US market opened. The earnings release is now available on our IR website and via Newswire services.

During today's call, you'll hear from Mr. Cussion Pang, our Executive Chairman, and Mr. Ross Liang, our CEO, who will share an overview of our company's strategies and business updates. Then Ms. Shirley Hu, our CFO, will discuss our financial results before we open the call for questions.

Before we continue, I refer you to the Safe Harbor statement in our earnings release, which applies to this call as we'll make forward-looking statements. Please note that we will discuss non-IFRS measures today, which are more thoroughly explained and reconciled to the most comparable measures, reported under IFRS in our earnings release and filings with the SEC.

All participants are muted at this time. After management's remarks, there will be a Q&A session. And please be advised that today's call is being recorded

With that, I'm pleased to turn the call over to Cussion, Executive Chairman of TME. Cussion?

Cussion:

Thank you, Millicent. Hello everyone and thank you for joining our call today.

In the third quarter, we delivered another set of strong financial results, underpinned by the well-rounded performance of our online music business. Our ongoing innovations across content, services, and live experiences continued to fuel steady growth in our subscription business, while boosting momentum in non-subscription revenue, particularly in concerts and artist merchandise.

Backed by our strong financial position and operational excellence, we are poised to further broaden our music services, unlock new growth opportunities, and create greater value for artists, partners, and users across the entire music industry.

Now let me share some highlights from this quarter:

First, we further enriched our content coverage to include more offerings in different music genres and languages.

1) For example, in pop music, we renewed contract with DREAMUS, a leading Korean label, and partnerships with G.E.M. Studio (邓紫棋), Jason Zhang's (张杰), and Lay Zhang's (张艺兴) studio, strengthening our collection of top hits.

2) To better serve users' passion for game-related music, we partnered with Tencent Games to co-produce *Atlas of Tomorrow* (明日坐标), the 10th anniversary theme song performed by JJ Lin (林俊杰) for *Honor of Kings* (王者荣耀). Performed as the finale at the Honor of Kings 10th Anniversary Co-Creation Night, the song quickly garnered over 600 million social media mentions within two weeks of its release, engaged 280 cultural and tourism authorities nationwide, standing out as one of the year's most impactful game soundtracks. We also collaborated with *Blizzard Entertainment* for the first time, and introduced 50 original soundtracks from iconic game titles including *World of Warcraft* (魔兽世界) and *Hearthstone* (炉石传说).

3) To further enrich anime and K-pop music categories, we established strategic partnerships with renowned Japanese ACG label KING RECORDS and Korean label CEREAL, offering popular anime songs and OSTs from hit dramas such as *Boys Over Flowers* (花样男子).

Second, during the quarter, we successfully staged several large-scale international concerts and events, extending our reach beyond borders to tap into international market opportunities.

1) A prime example is the concert tour that we hosted for leading Korean artist G-DRAGON, G-DRAGON 2025 WORLD TOUR [Übermensch]. Building on our success in the second quarter, this time we put on 14 additional sold-out shows for him across six cities, including Sydney, Melbourne, and Kuala Lumpur, drawing over 150,000 attendees. The popularity of the tour led to acceleration of live concert revenue growth, demonstrating our strength in delivering world-class entertainment experiences.

2) Our annual flagship TMEA concert, was another success and a highlight for the quarter. The event featured 35 different artists and groups, and drew more than 10,000 attendees, underscoring its strategic importance as a well-anticipated premier gathering within the music industry.

   Building on the momentum from TMEA, this year we broke new ground and introduced another flagship concert IP, TMElive International Music Awards (TIMA), to celebrate the achievements of international artists and showcase their talents. The inaugural TIMA featured 22 globally renowned artists and groups from China and a number of Asian countries, including famous acts like BILLKIN, PP KRIT, aespa, and SMTR25. The two-day event immersed over 20,000 attendees in a vibrant atmosphere.

3) We also organized and delivered several major concert tours for well-known artists like Fiona Sit (薛凯琪), TIA RAY (袁娅维), Angela Zhang (张韶涵), and GAI (周延). The success of these shows illustrates TME's strength and impact in broadening artists' fan bases, especially

through interactions with younger audiences. For instance, in GAI's most recent show in Chongqing, through integrated online and offline promotional resources, we helped him attract more than 40,000 attendees, up from 10,000 in a single event in the third quarter. This marked a successful upgrade in concert scale, moving from arena-level to stadium-level.

Together, these remarkable events have laid a solid foundation for TME to continue to grow at scale. As we further build out our performance pipeline, we are confident that there will be more exciting opportunities home and abroad to deliver large scale and immersive live music experiences for users.

Third, we continued to break new ground with artist partnerships, providing them with holistic support and leveraging our increasing promotional capability to enrich artist-centric offerings.

1) For instance, during the quarter, we partnered with Tencent's hit title *CrossFire* (穿越火线) to produce YUQI's (宋雨琦) new song *COPDD*. By seamlessly integrating the song into the game ecosystem and allowing users to earn in-game items through listening tasks, we amplified its impact. The track soared to No. 2 on the QQ Music New Song chart within two days of its release.

2) As another example, in this quarter, we premiered Lay Zhang's new digital album *ROCK THE HEAVENLY PALACE* (闹天宫), together with collectible card packages. This innovative approach not only boosted participation but also led the album to rank among the top of the 2025 bestseller chart.

3) The production and release of Bai Lu's (白鹿) first physical album *My Odyssey*, featuring two distinct version designs, marked another success. The album earned strong acclaim from fans and achieved outstanding sales performance.

All of the above examples illustrate the power and flywheel of our content and platform dual engine. Supported by our massive user base, fueled by expanding content ecosystem and constant innovations, we have reinforced the virtuous cycle, allowing us to design diverse services to address user needs. With user interactions deepening and community engagement strengthening, it boosts the reach of quality content on our platform and attracts more attention from artists and labels, both home and abroad, fueling the sustainable growth of our ecosystem.

Last but not least, on ESG, for seven consecutive years, we have proudly run the Music Garden Space public welfare program, partnering with singers and teachers to support music education in rural areas. This year, we invited WeSing users to redeem their points accumulated through incentive ads to directly support the program, sparking greater public interest. Over 380,000 participants took part.

Looking ahead, we will continue to leverage our dual engine strategy, explore new opportunities and expand our reach, building a seamless, vibrant, all-in-one music service platform for music lovers.

Now I would like to hand it over to Ross for a deeper dive into our overall platform development. Ross, please go ahead. Thank you.

Ross:

Thank you, Cussion. Hello, everyone.

Our music ecosystem continued to thrive in the third quarter, benefiting from our profound user insights and operational excellence.

As we focused on enhancing the value proposition for users, this quarter, we achieved steady growth in SVIP penetration and ARPPU. We are also building a diversified product portfolio, catering to different user cohorts, to effectively expand our platform's reach to a broader audience.

To this end, our commitment to harnessing AI, to elevate user experiences, continued to empower us to remain at the forefront of delighting music users.

1) First, on system integration, we were among the first to support Apple's "Liquid Glass" mode in iOS 26, and introduced Liquid Glass themes and player on Android, for optimized visual effects and better interactions. We also fully adapted our app for HarmonyOS, with core music features now largely aligned with what we offer on Android.

2) Second, we upgraded player interactive features and AI-powered functionalities. For example, we embedded more enlightening designs and tokens on the playback page, creating delightful surprises across new touchpoints, which also proved effective in new song promotions.

   We also pioneered multi-mode song transition feature, Automix, offering seamless remixes and a more immersive streaming experience.

   To effectively deepen engagement, we expanded our AI-powered lyrics card feature, newly covering over 200 leading artists. The card collecting process is full of surprises and fun, driving sharing among users and increased user activeness.

   Our upgraded AI assistant allows users to generate a personalized playlist with just one tap or easily create their own original music. This has significantly lowered the barrier to creative expression and helped increase content consumption through recommendation.

We are here to serve and delight. As a result, users can unlock additional tools and perks from our multi-pronged membership offerings. Whether a freemium user, a deeper value ads member, or a standard subscriber, we provide different services to cater to distinct needs of users. In fact, recently, we started to see an increasing willingness of freemium users upgrading to ads members, which

also led to increased time spent.

For those looking to experience the ultimate service, our SVIP offers an unparalleled range of premium features, which have been crucial in driving SVIP adoption rate and average spend. Its penetration and ARPPU expanded both year-over-year and quarter-over-quarter, as we introduced new privileges and innovative services that strengthened its value proposition and inspired music appreciation in new ways. A few highlights to share:

1) First, premium sound qualities remained a key draw for SVIP. As we accelerated its rollout, QQ Music's newly introduced DTS Booming External Speaker became the top conversion driver among audio qualities. Viper Ultra Sound 2.0 in Kugou Music, with its improved sound clarity and reduced data usage, also proved to be highly effective in retaining SVIP loyalty.

2) Second, our insights into content and user propelled us to provide creative offerings, which in turn helped boost SVIP uptake.
   a) For example, the digital album, an integral part of our content ecosystem, remains effective at SVIP conversion. Members highly appreciate their privileged access to digital albums alongside limited-edition collectible NFC cards. Notable collaborations this quarter include Eason Chan's (陈奕迅) *FEAR and DREAMS* and i-dle's self-titled Japanese EP, which significantly boosted SVIP conversions.
   b) Another example is starlight cards. In the third quarter, we rolled out new starlight cards featuring popular artists such as Fiona Sit, aespa, i-dle, and Teens in Times (时代少年团), which instantly became a big draw. We have also expanded artist partnerships to include more international musicians, including JYP's ITZY, Japan's JO1, and Western artist JVKE. Replicating our success domestically, we recently extended our starlight card offerings to the Hong Kong and Thailand markets through our music platform JOOX.

3) Third, we rolled out several targeted initiatives to reinforce the artist-fan connection and strengthen user loyalty through *bubble*.
   a) We expanded our artist roster by onboarding over a dozen musicians from domectic labels such as Hu Xia (胡夏), NexT1DE, and R.E.D—giving more fans the chance to interact directly with their favorite artists online. This, in turn, attracted a broader user base.
   b) We leveraged AI to further localize bubble features and functionalities, leading to improved user retention. The new and upgraded features include in-app translation and speech-to-text capabilities empowered by large AI models, as well as desktop shortcuts for quicker and spontaneous access.
   c) We also launched limited-edition badges to celebrate key artist moments—such as new song releases, birthdays, and debut anniversaries. These, complemented by unique fan-only perks, helped strengthen emotional ties between artists and fans, resulting in improved retention and engagement.

In summary, we are pleased with the progress we've made in enhancing the value for an increasingly

diverse user base. Moving forward, we remain committed to further enhancing our core strengths and platform efficiency. We are well positioned to continue to shape the industry—from music creation to enjoyment.

With that, I would like to turn the call over to Shirley, our CFO, for a deep dive into our financials.

Shirley:

Thank you, Ross, and greetings, everyone.

Let me now turn to our financial results. In Q3 2025, our total revenues grew 21% year-on-year to RMB 8.5 billion, marking the highest revenue growth since Q1 2021. This was resulted from continued growth momentum in music subscriptions, together with robust growth in offline performances, advertising services, and artist-related merchandise sales.

Online music revenues grew 27% year-on-year to RMB 7.0 billion.

Music subscription revenues grew 17% year-on-year to RMB 4.5 billion in Q3 2025, driven by continued growth in monthly ARPPU and subscriber base. Monthly ARPPU reached RMB 11.9 this quarter, compared to RMB 10.8 in the same period of last year, primarily driven by expansion in SVIP membership program. This quarter, we continued to broaden and strengthen the SVIP benefits. For example, QQ Music newly introduced DTS Booming External Speaker and we expanded starlight cards with more popular artists, both are popular features to drive SVIP adoption. Additionally, our multi-pronged membership offerings across ads membership, standard membership and SVIP membership also contributed to improved user engagement and conversion. All of these efforts have laid down the foundation for the healthy growth of our subscription business.

Advertising revenue continued its strong growth trajectory on a year-on-year basis, primarily driven by more diversified product portfolio and innovative ad formats such as ad-supported mode.

Offline performances and artist-related merchandise sales delivered triple-digit year-on-year revenue growth this quarter. In Q3, we successfully held multiple concerts both domestically and internationally. In the overseas market, we hosted 14 shows for G-DRAGON across six cities, achieving robust ticket sales. In domestic market, we successfully hosted concerts for high-profile artists, such as Will Pan (潘玮柏) and Jane Zhang (张靓颖). In addition, we provided concert-related merchandise sales during the concerts which offered more artist-fan connection opportunities and in turn contributed to the revenue growth in artist-related merchandise sales.

Social entertainment services and other revenues were RMB 1.5 billion, down by 3% year-on-year.

Our gross margin in Q3 2025 was 43.5%, up by 0.9 percentage points year-on-year. The increase was mainly attributable to strong growth in music subscription and advertising revenues, alongside a lower revenue sharing ratio in social entertainment services. At the same time, new growth areas,

such as offline performances and artist-related merchandise sale, have lower gross margin. The revenue mix shift may cause gross margin fluctuations in different periods. Diversification in revenues offers the possibility for further growth in our revenue and gross profit, and helps us cultivate a more comprehensive, one-stop music services ecosystem.

Moving on to operating expenses, they amounted to RMB1.3 billion, representing 15.5% of our total revenues in Q3 2025, compared with 17.4% in the same period of last year.

Selling and marketing expenses were RMB260 million, up by 18% year-on-year, primarily due to higher content promotion expenses and channel spending. We keep monitoring market conditions and increase spending as needed with financial discipline.

General and administrative expenses were RMB1.05 billion, up by 5% year-on-year, primarily due to growth in employee-related expenses.

Our effective tax rate for Q3 2025 was 17.7% and remained relatively stable compared with the ETR in the same period of 2024. We accrued withholding income tax of RMB118 million this quarter.

For Q3 2025, our net profit increased by 29% to RMB2.2 billion, and net profit attributable to equity holders of the Company increased by 36% to RMB2.2 billion. Non-IFRS net profit increased by 28% to RMB2.5 billion, and non-IFRS net profit attributable to equity holders of the Company increased by 33% to RMB2.4 billion.

Our diluted earnings per ADS this quarter was RMB1.38, up by 37% year-on-year, and non-IFRS diluted earnings per ADS was RMB1.54, up by 33% year-on-year.

As of September 30, 2025, our combined balances of cash, cash equivalents, term deposits and short-term investment were RMB36.1 billion, as compared to RMB34.9 billion as of June 30, 2025. This combined balance was impacted by the repayment of US$300 million for the senior unsecured notes due in Q3 2025 and it was also affected by changes in the exchange rate of the RMB to USD at different balance sheet dates.

Looking forward, we will put more efforts in IP cultivation and self-produced content, while keeping product innovation to foster a vibrant and comprehensive music ecosystem. With solid growth in our core business and increased product diversification such as offline performances and artist-related merchandise, we are well positioned and are confident in the high-quality growth of our business.

This concludes our prepared remarks. Operator, we are ready to open the call for questions.

Millicent:

Thanks, Shirley.

Millicent:

Thank you. Thank you everyone for joining us today. If you have any further questions, please feel free to contact our IR team. And this concludes today's call, and thank you so much again and look forward to speaking to you next quarter.